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JL Mag Rare-Earth Co. Ltd | Asia Pacific

3Q26 preliminary results in line; fast revenue growth

AlphaSignals Earnings Reaction

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

JL Mag expects 9M26 NP to grow 43-55% YoY, to Rmb735-800mn: It expects 3Q26 NP to grow 30-60% YoY, to Rmb273-338mn, vs. Rmb269mn in 2Q26. We view the preliminary results as in line with our expectation.

Revenue growth accelerates: JL Mag expects 9M26 revenue to grow ~40% YoY, vs. 30% in 1H26: Revenue from EVs and auto parts should grow ~40% YoY and that from robots and industrial servo motors looks set to surge ~100% YoY. Rotors for embodied robots achieved small-batch deliveries. 3Q26 revenue was implied to be Rmb2.9bn, +10% QoQ / +54% YoY.

High-quality earnings: Preliminary recurring NP was expected to be Rmb260-325mn in 3Q26, similar to the NP level. Management also notes that share incentives and convertible-related expenses were ~Rmb175mn in 9M26 vs. Rmb44mn in 9M25.

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JL Mag Rare-Earth Co. Ltd (6680.HK, 6680 HK)

Greater China Materials | China

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	HK$27.80
Up/downside to price target (%)	91
Shr price, close (Oct 13, 2026)	HK$14.55
52-Week Range	HK$29.30-14.22
Mkt cap, curr (mn)	Rmb28,668
Avg daily trading value (mn)	HK$139

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.52	0.79	1.05	1.42
Revenue, net (Rmb mn)	7,718	10,950	12,464	14,228
ModelWare net inc (Rmb mn)	706	1,085	1,427	1,932
P/E	32.0	15.6	11.9	8.8
P/BV	3.0	2.0	1.8	1.6
RNOA (%)	11.6	15.5	18.4	24.6
Return on avg eqty (%)*	9.7	13.6	16.2	19.4
EV/EBITDA	42.0	18.4	13.8	10.4
Div yld (%)	1.3	2.7	3.6	4.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
* = GAAP or approximated based on GAAP
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

JL Mag Rare-Earth Co. Ltd (300748.SZ)

Our price target is derived from a discounted cash flow model through 2035. We apply a cost of equity of 10.8% based on a beta of 1.1, a 2.7% risk-free rate and a 7.3% equity risk premium. We assume terminal growth of 4% beyond our explicit forecast period.

Risks to Upside

- New capacities commence operation faster than scheduled, which would help drive the company's sales volume.
- Stronger-than-expected downstream demand

Risks to Downside

- Long cash cycle leading to increasing working capital demand
- Rising rare earths prices
- Weaker-than-expected downstream demand
- US and EU reducing their dependence on rare earth magnets from China

JL Mag Rare-Earth Co. Ltd (6680.HK)

Our H-share price target is derived from the A-share price target using a 50% A/H premium and 0.88 HKD/CNY exchange rate. This premium is based on the latest A/H premium of JL Mag.

Risks to Upside

- New capacities commence operation faster than scheduled, which would help drive the company's sales volume
- Stronger-than-expected downstream demand

Risks to Downside

- Long cash cycle, leading to increasing working capital demand
- Rising rare earths prices
- Weaker-than-expected downstream demand
- US and EU reducing their dependence on rare earth magnets from China

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(as of September 30, 2026)

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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

JL Mag Rare-Earth Co. Ltd (300748.SZ) - As of 10/13/26 GMT in CNY
Industry : Greater China Materials



Stock Rating History: 5/26/22 : E/A; 4/23/25 : O/A

Price Target History: 5/26/22 : 20.56; 7/13/22 : 28.81; 1/4/23 : 21.44; 4/25/23 : 19.94; 7/14/23 : 19.9; 9/21/23 : 18.5; 4/9/24 : 16.7; 9/25/24 : 11.4; 12/16/24 : 18.2; 4/23/25 : 26.3; 10/8/25 : 39.3; 4/15/26 : 36.7

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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JL Mag Rare-Earth Co. Ltd (6680.HK) - As of 10/13/26 GMT in HKD
Industry : Greater China Materials



Stock Rating History: 5/26/22 : O/A; 4/9/24 : E/A; 4/23/25 : O/A

Price Target History: 5/26/22 : 17.75; 7/13/22 : 25.88; 1/4/23 : 18.31; 4/25/23 : 17.44; 7/14/23 : 17.4; 9/21/23 : 15.3; 4/9/24 : 7.2; 9/25/24 : 5.9; 12/16/24 : 8.2; 4/23/25 : 16.6; 10/8/25 : 28.6; 4/15/26 : 27.8

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Materials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/13/2026)
Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb20.35
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK$2.04
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb23.28
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.12
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb146.95
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb38.45
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb37.44
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb34.08
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK$21.36
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK$14.52
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK$5.31
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.24
MMG Ltd (1208.HK)	O (12/16/2024)	HK$8.67
Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.10
Shenhuo Coal and Power (000933.SZ)	O (09/02/2025)	Rmb26.70
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb12.11
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK$8.07
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	E (10/07/2026)	Rmb33.80
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb9.05
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK$7.77
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.88
Beijing New Building Materials (000786.SZ)	E (10/07/2026)	Rmb16.38
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb10.74
China Jushi (600176.SS)	O (12/22/2020)	Rmb38.46
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK$3.07
China Steel Corp. (2002.TW)	U (12/16/2025)	NT$19.15
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK$15.58
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb17.04
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb37.52
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK$20.10
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.25
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb41.93
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK$27.04
Grace Fabric Technology Co. Ltd. (603256.SS)	O (09/14/2026)	Rmb111.42
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb55.03
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb16.61
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK$33.04
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb41.55
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK$14.55
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb23.09
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK$5.22
PT Merdeka Gold Resources Tbk (6228.HK)	O (08/04/2026)	HK$36.80
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb26.99
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK$19.06
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.86
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK$25.34
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb38.50
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb8.62
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK$18.47
Zijin Gold International (2259.HK)	O (11/06/2025)	HK$146.30

Zijin Mining Group (2899.HK)	O (11/06/2025)	HK$32.90
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb30.40

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